Echo

Corporate Structure & US Compliance Master Plan

Echo Message · Echo Comply · Echo Passport
+ the ECHO token / Network State / Foundation layer

Version 1.0 · 2026-06-26 · Prepared for the Founder

⚠ **Informational planning document — NOT legal or tax advice.** No attorney–client relationship is created. Engage the licensed professionals named in §12 before acting on the token, payments, HIPAA, or any cross-border step. Verify all rules and dates before relying on them.

Echo — Corporate Structure & US Compliance Master Plan

Prepared for: Founder, Echo (the "you" throughout) **Version:** 1.0 · **Date:** 2026-06-26 **Covers:** Echo Message · Echo Comply · Echo Passport · the ECHO token / Network State / Foundation layer

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⚠️ Read this first — important disclaimer

This is an informational planning document. It is NOT legal advice or tax advice, and no attorney–client or accountant–client relationship is created by it. It was prepared to organize your decisions and give you a concrete, sequenced plan — *not* to replace licensed counsel. Several things you are building (a token with staking and rewards, in-app payments, enterprise/health-data compliance, identity/biometric verification) sit on top of **securities, money-transmission, and privacy law** where the penalties for getting it wrong are severe. **Before you act on the token, payments, HIPAA, or any cross-border step, engage the specific licensed professionals named in §12.** Where this document says "do X now," it means the *low-risk formation and hygiene* steps; everything carrying real regulatory risk is explicitly routed to counsel.

Laws change and some items below (notably the federal beneficial-ownership reporting rules) were in active flux as of mid-2026 — treat every date and rule as "verify before relying."

How to use this document

1. **Read §2 (Executive summary)** for the whole picture in one page.
2. **Do §5 (Formation checklist) now** — that's the part you can safely execute this month. A stripped-down version lives in `FORMATION_CHECKLIST.md` for printing.
3. **Skim §6** for the per-product to-do lists and **§7** for what to *defer* (token/Foundation).
4. **Take §12 to your first attorney/CPA meeting** — it's the list of who to hire and what to ask.
5. Fill in the values in the **"Fill these in" box at the end of §5** once, and they flow everywhere.

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1. Where you are today

- You run **one privacy protocol with three products**: **Echo Message** (consumer E2E messaging), **Echo Comply** (enterprise compliance messaging / audit / eDiscovery), and **Echo Passport** (credential wallet + selective disclosure + in-chat payments).
- You have a **token economy on paper** — ECHO, hard-capped at 1B, with validator staking, per-message and referral rewards, trust-tier multipliers, and a proposed transparent fee-split — plus a **"Network State"** vision in which users own a piece of the network. Your own docs already name an **"Echo Protocol Foundation (Wyoming DUNA)"** as the protocol steward.
- **Legally, almost nothing is formed yet.** The only legal artifacts in the repo are *draft* Terms of Service and Privacy Policy (`docs/legal/`) with `[LEGAL ENTITY NAME]` placeholders. There is no entity, no EIN, no bank account, no IP assignment, no trademark.
- **Your stated goals:** (a) a real, bankable, tax-filing entity now; (b) stay as anonymous as legally possible; (c) keep the non-profit / token / Network State path open without triggering it early; (d) a clear per-product compliance plan; (e) a Wyoming LLC as the base.
- **Your decisions (captured 2026-06-26):** home base is a **no-income-tax state**; token timing is **undecided/exploring**; you want **minimal structure now, scale later**; deliverable is **one master doc + checklists**.

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2. Executive summary

The recommendation in one line: *Form a single anonymous Wyoming holding LLC now, run all three products inside it as divisions/DBAs, and stand up product subsidiaries and the non-profit Foundation only when specific triggers fire.*

This gives you the "real name and entity" a bank and the IRS require, with the least cost and admin, while preserving Wyoming's strong owner-anonymity and asset protection — and it keeps the token / Network State path fully open without prematurely creating securities, money-transmission, or tax-exempt obligations you're not ready to carry.

Your question	Short answer
Wyoming LLC?	**Yes.** It's the right base for anonymity + asset protection.
Holding company in my son's (23) name?	**No** — not as a privacy device. It's not real anonymity, it can void liability protection / edge into fraud, and it creates gift-tax + his-creditor risk. Gift him a stake *transparently* instead, or use a trust.
Can I stay anonymous?	**Yes on the public record; no to your bank and the IRS.** The *entity* is the public face; your name is disclosed only to your bank (KYC) and the IRS (EIN).
Make it a non-profit (for Network State)?	**Not the whole thing.** Keep the products for-profit; create a *separate* non-profit Foundation later, only when the token actually moves.
What do I create now?	One WY LLC + EIN + operating agreement + bank account + **IP assignment** + ToS/Privacy filled in + trademark filings + insurance. See §5.
What do I defer?	Product subsidiaries, the Foundation, any token sale/listing, any custodial payment feature. See §7.

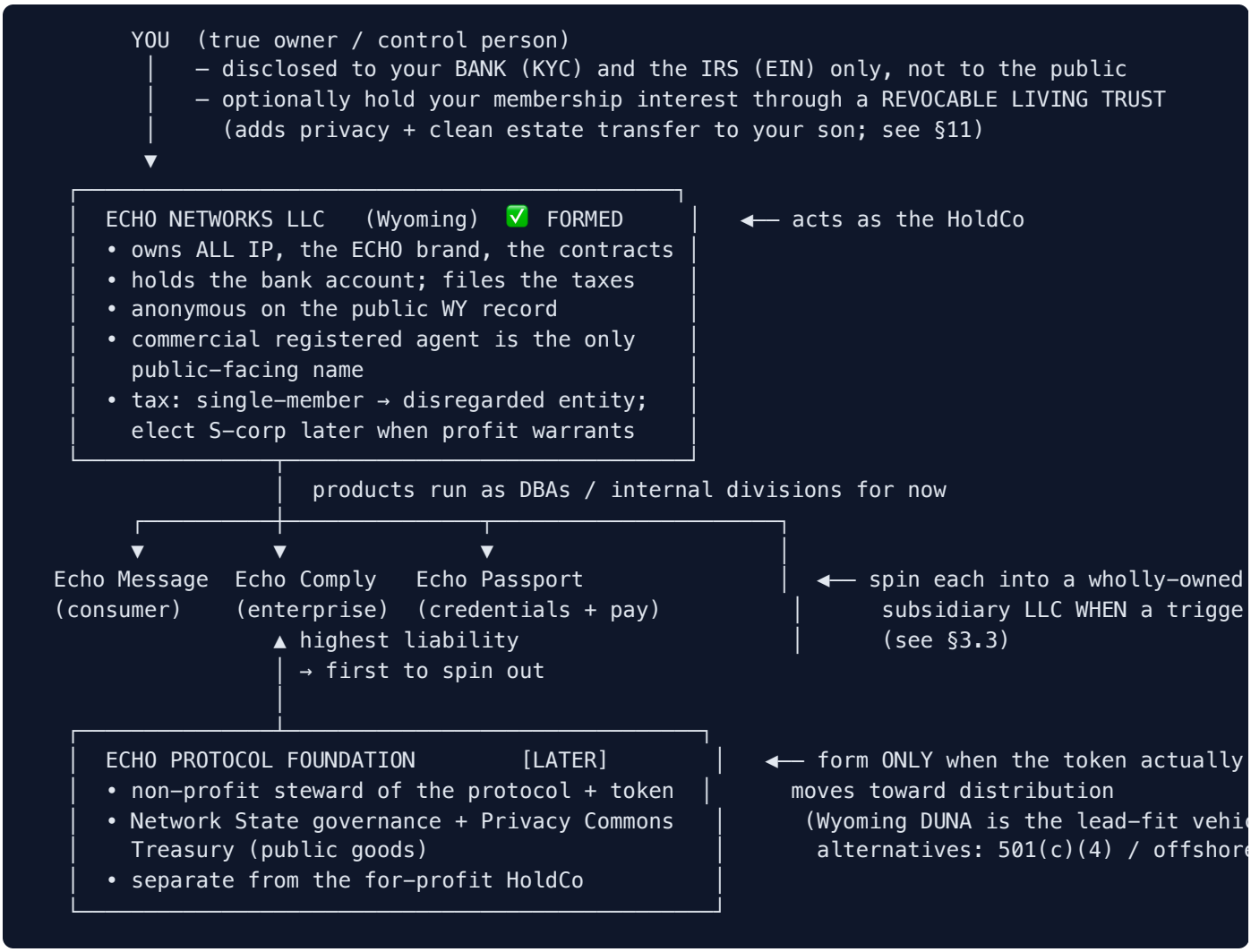
▶ Do-this-now box

1. Pick a name; check Wyoming availability.
2. Hire a **commercial registered agent** in Wyoming.
3. File **Articles of Organization** (manager-managed, for privacy).
4. Sign an **Operating Agreement**.
5. Get an **EIN** (you are the "responsible party").
6. **Assign all existing code + brand into the LLC** (don't skip this).
7. Open a **business bank account**.
8. Fill ToS/Privacy with the entity name; file **trademarks**; get **insurance**; set up **bookkeeping**.

Everything token-, payment-, or HIPAA-related: **talk to counsel first (§12).**

3. Recommended entity architecture

3.1 The structure



3.2 Why this shape

- **One entity now = fastest path to "bankable + tax-filing."** A bank needs a single legal entity, an EIN, formation docs, and an operating agreement. You get all of that with one filing.
- **Holding-company framing protects the valuable thing — the IP.** The LLC *owns the code, the brand, and the contracts*. Later, operating subsidiaries license the IP from the HoldCo, so a lawsuit against an operating product can't easily reach the crown-jewel IP.
- **Wyoming gives anonymity + charging-order protection** that most states don't. Members and managers are not listed on the public Articles, and Wyoming's charging-order rules make it hard for a member's personal creditor to seize the company.
- **Divisions now, subsidiaries later** avoids paying for and maintaining four sets of filings, registered agents, bank accounts, and tax returns before there's revenue to justify them.

- **For-profit + non-profit two-track** is the standard, battle-tested crypto pattern (operating company ships the product; a separate foundation stewards the token and protocol). It also keeps the commercial revenue out of any tax-exempt entity, which is required, not optional (see §4 and §7).

3.3 Spin-out triggers (when a division becomes its own subsidiary)

Create a wholly-owned subsidiary LLC for a product when **any** of these is true for it:

- It signs **enterprise contracts** that demand a dedicated counterparty, indemnities, or a BAA (**Echo Comply** will hit this first — enterprise + potential health data = highest liability).
- It takes **outside investment** earmarked for that product line.
- It introduces a materially different **liability or regulatory profile** (e.g. **Echo Passport** turning on real money movement, or custody of financial credentials).
- It generates **standalone revenue** large enough that you want separate books / a separate sale or spin-off path.

Until a trigger fires, run the product as a **registered DBA / trade name** under ECHO Networks LLC.

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4. Your four questions, answered

4.1 "Should I put the holding company in my son's (23) name?" → No — not to stay anonymous.

Using your adult son as the owner-of-record to hide your involvement is a **nominee arrangement**, and it backfires on every axis:

- **It isn't real anonymity.** Banks must identify the **beneficial owner** and the **control person** under their Customer Identification Program (CIP) / KYC rules, and beneficial-ownership rules look through nominal title to whoever actually *controls or economically benefits*. If you run it and earn from it, **you are a beneficial owner regardless of whose name is on the certificate** — so you'd have to disclose yourself to the bank anyway, defeating the purpose.
- **It can destroy the liability shield.** A company used as an "alter ego," or where ownership is a fiction, is exactly what lets a court **pierce the veil** and reach the real operator personally.
- **Done to mislead a bank or regulator, it can be a crime.** Putting a straw owner on bank/CIP paperwork to conceal the true owner can be **bank fraud / false statements**. Don't.
- **It creates tax and family-law exposure.** If he truly owns it, the income is taxed to *him* (or your funding it is a **taxable gift** with gift-tax-return consequences). And because the asset is legally *his*, it's exposed to **his** creditors, lawsuits, divorce, or simply his choice to sell or encumber it.

What to do instead (covered in §8 and §11): - Own it yourself, and get practical anonymity from **Wyoming's privacy + a commercial registered agent + an organizer service** so your name never appears on a public

filing. - If your real goal is **estate planning / passing it to your son**, do that *transparently*: grant him a documented **membership interest**, or place your interest in a **revocable living trust** that names him as beneficiary. Both are legitimate, both keep your name off the public record, and a CPA handles the gift/valuation mechanics correctly.

4.2 "Can I stay anonymous?" → Yes on the public record. No to your bank and the IRS.

Anonymous from…	Achievable?	Why
Public formation record	**Yes**	Wyoming doesn't list members/managers on the Articles. With a commercial registered agent + organizer service, your name appears nowhere public.
App users / ToS / App Store	**Yes (your name)**	The **entity** is named as operator everywhere; *you* are not. (Apple does require the entity's legal name + a D-U-N-S number — that's the entity, not you.)
Your bank	**No**	CIP/KYC requires the bank to identify and verify the true beneficial owner + control person. You give the bank your real identity. Non-negotiable.
The IRS	**No**	The EIN application (Form SS-4) names a **responsible party** — a real human (you). Taxes flow to real people.
FinCEN (CTA / beneficial-ownership)	**Status in flux**	A March 2025 FinCEN interim rule generally **exempted US-formed companies** from beneficial-ownership (BOI) reporting (leaving only certain foreign companies). So a Wyoming LLC likely has **no federal BOI filing today** — but this has been litigated and changed repeatedly; **verify current status before relying** (§8).

Bottom line: you can be invisible to the public and to your users, but you cannot — and must not try to — be invisible to your bank or the IRS. The strategy is "*the company is the public face; my name lives only where the law requires it.*"

4.3 "Should it be a non-profit (for the Network State)?" → Not the whole thing — use a dual structure.

- **The commercial products must stay for-profit.** Echo Message subscriptions/VIP, Echo Comply enterprise revenue, and Echo Passport rails are commercial income that *benefits you*. A U.S. charity (501(c)(3)) is barred from **private inurement** — it cannot exist to enrich its founder, so it's the wrong wrapper for your products and your income.
- **The Network State / token / public-goods layer is where a non-profit fits.** A **separate** foundation can legitimately steward the protocol, hold and distribute the token under governance, and run the **Privacy Commons Treasury** (legal defense of surveilled users, grants, research). Keeping it separate is exactly what prevents "user-owned" from quietly becoming "owned by whoever buys the company," which is the credibility of your whole ownership thesis.
- **This two-track model is the industry norm** (operating company + protocol foundation). Your own docs already assume it.

- **Form it later, on a trigger** (token moving toward distribution). Vehicle options are compared in §7; the lead candidate from your docs — a **Wyoming DUNA** — is purpose-built for a token/DAO steward.

4.4 "Wyoming LLC?" → Yes. Plus one nuance for your no-tax home base.

Wyoming is the right base: **no state income tax, strong privacy (no public member list), strong charging-order protection, low fees, mature LLC case law.** The one decision to make with your attorney:

- **You operate from a different no-income-tax state.** When you actively run the business from your home state, that state generally considers the LLC to be **"doing business"** there, which means you either (a) **form in Wyoming and foreign-qualify** the LLC in your home state, or (b) **form directly in your home state**.
- *Form in WY + foreign-qualify at home* → keeps Wyoming as the legal home (privacy/protection) but adds a second registration + registered agent, and your home state's public record may show more.
- *Form directly at home* → simpler/cheaper, but you may lose some of Wyoming's specific privacy and charging-order advantages depending on the state.
- Because your home state has **no income tax**, the usual "Wyoming saves me state tax" argument is weak — the real reason to still choose Wyoming here is **privacy + asset protection**, not tax. Have your attorney weigh those against the cost of dual registration for *your specific home state* (some no-tax states, e.g. FL, publish more owner/manager detail than others).

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5. Step-by-step formation checklist (DO NOW)

Do these in order. Costs are rough 2026 ballparks; confirm current figures.

#	Step	Who does it	Est. cost	Est. time	Notes
1	✅ **DONE — entity formed: ECHO Networks LLC** (Wyoming, single-member, manager-managed), EIN obtained	You / registered agent	$0–60	1 day	Formed. Confirm the matching `.com` + app handles are secured in the entity's name.
2	**Engage a Wyoming commercial registered agent**	You	~$50–200/yr	1 day	The agent's address (not yours) is the public contact. Many offer an **organizer + mail/virtual-address** bundle so even the organizer isn't you.
3	**File Articles of Organization** (choose **manager-managed**)	Registered agent / attorney	$100–150 state fee	1–3 days	Manager-managed keeps members off the doc and lets a manager (you, or a manager entity) be the operational face. WY does not list members.
4	**Adopt an Operating Agreement**	Attorney (recommended)	$0 (template) – $1,500 (drafted)	1–5 days	The internal rulebook: ownership %, management, transfer restrictions, what happens on death (ties to your son/estate plan). Banks ask for it. **Draft ready to review:** `OPERATING_AGREEMENT_DRAFT.md` — have counsel finalize before signing.
5	✅ **DONE — EIN obtained** (Form SS-4)	You (free, IRS)	$0	Same day online	You are the **responsible party**. Ratified in `ORGANIZATIONAL_CONSENT_DRAFT.md` §4.
6	**Assign ALL existing IP into the LLC**	Attorney	included in §4 or ~$500	1–3 days	**Critical and easy to forget.** A signed **IP assignment** moving the codebase, the ECHO brand/logos, the domains, and any prior contractor work *from you personally into ECHO Networks LLC*. **Draft ready:** `IP_ASSIGNMENT_AGREEMENT_DRAFT.md` (+ going-forward IP in `FOUNDER_SERVICES_AGREEMENT_DRAFT.md`). Without this, the company doesn't actually own what it's built on.
7	**Open a business bank account**	You	$0–25/mo	1–3 days	Bring: Articles, EIN letter, Operating Agreement, your ID. **You will disclose yourself as beneficial owner — that's normal.** Shortlist + credit-card path: `BUSINESS_BANKING_RECOMMENDATIONS.md`; authorized by `ORGANIZATIONAL_CONSENT_DRAFT.md` §7.

#	Step	Who does it	Est. cost	Est. time	Notes
8	**Fill in ToS + Privacy** with the entity name	You + privacy counsel	reuse existing drafts	1 day	Replace `[LEGAL ENTITY NAME]` → **ECHO Networks LLC** in `docs/legal/TERMS_OF_SERVICE_DRAFT.md` and `PRIVACY_POLICY_DRAFT.md`; have privacy counsel finalize before publishing.
9	**Set up bookkeeping + engage a CPA**	You + CPA	~$50–300/mo	ongoing	Separate books from day one (commingling is the #1 way to lose the liability shield). The CPA also advises the S-corp election timing (§9) and token-tax issues.
10	**File trademarks** (ECHO word mark + logos)	Trademark attorney	~$250–350/class gov + counsel	filing now, ~8–12 mo to register	Protect "ECHO," "Echo Message," "Echo Comply," "Echo Passport," and the ripple logo. File in the right classes (software, financial/messaging services).
11	**Get insurance** (general liability + tech E&O / cyber)	Broker	~$1–5k/yr to start	1–2 weeks	Tech E&O / cyber matters a lot for a messaging + identity + payments product.
12	**Stand up privacy-ops hygiene**	You	low	1 week	Virtual business address, business phone/VoIP, role-based emails (legal@, privacy@, security@), DMCA agent registration. See §8.

> 📝 **Fill-these-in box (set once; they flow into every doc)**
>
> - **Final entity name: ECHO Networks LLC** ✅ (formed; single-member, manager-managed)
> - **Formation state:** Wyoming · **Home/operating state:** _____ (your no-tax state)
> - **Responsible party (EIN) / control person:** ___ (you)
> - **Registered agent:** __ · ***Virtual business address:*** __
> - **Legal contact email:** legal@_ · ***Privacy contact: privacy@***_
> - **Public website:** ____

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6. Per-product compliance packets

Each product lists **Now** (do during/just after formation), **Near-term** (before broad launch), and **Trigger-based** (only when a condition fires).

6.0 Cross-cutting (applies to all three)

- **Now:** entity-named **ToS + Privacy Policy** (fill the existing drafts); **Data Processing Addenda (DPAs)** with every processor (cloud, IDV, analytics, APNs); **IP assignment** (§5 step 6); **trademark** filings; **App Store** setup (entity legal name + D-U-N-S; app privacy "nutrition labels"); **OFAC/sanctions screening** posture (don't serve embargoed jurisdictions/persons); **insurance**.
- **Near-term: CCPA/CPRA** (California) + other US state privacy laws (Virginia, Colorado, Texas, etc.) readiness — privacy rights request flow, "do not sell/share" (you already don't sell); **GDPR/UK GDPR** if you take EU/UK users (legal bases, DPA, possibly an EU representative); **accessibility** (ADA/WCAG) for the web surfaces; a **vulnerability disclosure / security** policy.
- **Trigger-based: SOC 2** once enterprise buyers ask (Comply will drive this).

6.1 Echo Message (consumer E2E messaging)

- **Now:**
- **Age gating / COPPA:** your ToS draft sets 18+; enforce it (under-13 data triggers COPPA, and teen-privacy rules are tightening). Keep the floor explicit.
- **Law-enforcement response policy:** a written process for subpoenas/warrants. Because messages are **E2E encrypted and content-blind**, you *can't* produce content — but you can receive and must handle legal process for the limited metadata you hold. Document what you have and don't have.
- **CSAM / NCMEC reporting:** US providers of messaging services have **mandatory reporting duties** to NCMEC for known child-sexual-abuse material. E2E encryption doesn't remove the legal duty to report what you *do* become aware of — build the reporting path and policy. **This is a hard legal obligation, not optional.** Get counsel on how it interacts with your encryption model.
- **Abuse / acceptable-use policy** + reporting/blocking flow (you already have trust-tier + report primitives); **DMCA agent** registration for any user-generated/shared content.
- **Near-term:** transparency-report posture; retention schedule for the minimal metadata you keep; jurisdiction/age verification for any region that mandates it.
- **Trigger-based:** if you add **broadcast channels / large groups**, revisit platform-liability and content-moderation obligations.

6.2 Echo Comply (enterprise compliance / audit / eDiscovery)

> This is your **highest-liability product** and the **first spin-out candidate** (§3.3).

- **Now:**
- **Enterprise contract templates:** MSA, order form, **DPA**, SLA, mutual NDA, **indemnification** and limitation-of-liability terms sized for enterprise risk.

- Position the audit/evidence backend's guarantees carefully in writing (you store hashes/CIDs and aggregate metrics, **never message content** — make that contractual, since it's also your defense).
- **Near-term:**
- **HIPAA capability:** if any customer handles PHI, you become a **Business Associate** and must be able to sign a **BAA** and meet the Security Rule. Decide deliberately whether you're "HIPAA-ready" or explicitly out of scope — don't drift into it.
- **SOC 2 Type II** roadmap (enterprise buyers will require it); vendor security questionnaires.
- **eDiscovery / litigation-hold / retention** contractual terms and the matching product controls (these are the core value and the core obligation).
- **Trigger-based:**
- **Spin into** `Echo Comply, LLC` at the first enterprise BAA or material enterprise contract.
- Sector add-ons as you sell into them: **FOIA** workflows (gov), **FINRA/SEC 17a-4** WORM-retention (finance), legal-hold standards (law firms).

6.3 Echo Passport (credential wallet + selective disclosure + payments)

- **Now:**
- **Biometric-privacy laws** for selfie/liveness/IDV: **Illinois BIPA** (private right of action — real class-action risk), **Texas CUBI**, **Washington**, and a growing list. You need **explicit biometric consent**, a retention/destruction schedule, and ideally to keep raw biometrics with the **IDV vendor**, not yourself (your design already does this — document it).
- **IDV vendor contract + DPA**; surface the vendor's role in your Privacy Policy (the draft already has the placeholder).
- **Near-term:**
- **GLBA** considerations if Passport touches financial-account credentials.
- **Document the non-custodial invariant** as a hard rule (see §7): Echo is the *identity + consent* layer, never the holder of funds or raw card data.
- **Trigger-based (get counsel BEFORE building, not after):**
- **Any real money movement → money-transmission analysis** (federal FinCEN MSB + state money-transmitter licensing). Native non-custodial P2P and licensed-partner rails are the design that *avoids* this — but the line is fact-specific and must be cleared by money-transmission counsel **before** the feature ships.
- **Custody of credentials/keys/funds** → KYC/AML program obligations.
- Spin into `Echo Passport, LLC` when payments turn on.

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7. Token + Foundation track (DEFERRED, pre-architected)

This is the **highest-regulatory-risk** part of Echo. Because your token timing is *undecided*, the plan is: **architect it, but don't trigger it.** Here's how to stay clean until you're ready.

7.1 Securities risk — the thing to respect most

A token that people **stake for "5–15% APY,"** earn as **rewards**, and that pays a **fee-split** has several hallmarks of an **investment contract** under the **Howey** test (money invested in a common enterprise with an expectation of profit from others' efforts). If ECHO is deemed a security and you distributed/sold it without registration or an exemption, the consequences are severe.

What NOT to do now (until securities counsel clears a path): - ❌ **Don't sell, list, or publicly distribute the token.** - ❌ **Don't advertise "APY," yield, returns, or price appreciation** — drop "5–15% APY" language from any public-facing material; describe rewards as **functional/usage-based**, not investment yield. - ❌ **Don't let rewards be freely transferable/tradeable** before clearance — the closer it looks to a tradeable yield-bearing asset, the more it looks like a security. - ❌ **Don't presell, do a SAFT, or take "investment" for tokens** without securities counsel.

What you CAN do now: keep building the *functional* mechanics (rewards accounting, trust tiers) internally, framed as product features, ideally **non-transferable / closed-loop** until cleared.

7.2 Money-transmission / MSB posture (payments)

Your design intent is exactly right and should be locked as a **hard invariant**:

> **Echo is the identity + consent layer, never the money transmitter.** Users self-custody (Echo never controls their keys or funds); merchant/fiat flows route through **licensed partners** (card-network tokenization / Open-Banking PISP); Echo never touches a raw PAN or holds customer funds.

If Echo *did* control or transmit user funds, it would likely be a **FinCEN-registered MSB** and need **state money-transmitter licenses** (a very expensive, multi-state, bonded undertaking). The non-custodial + licensed-partner design is what keeps you out of that — but **get a money-transmission legal opinion before any pay feature ships**, because the analysis is fact-specific.

7.3 The Foundation — when and which vehicle

Form the Foundation only when a trigger fires: you decide to actually distribute the token, launch public staking, or hand protocol governance to the community. Until then, leave it as a documented plan (this section).

Vehicle	What it is	Pros	Cons / watch-outs
Wyoming DUNA *(lead fit; your docs assume it)*	Decentralized Unincorporated Nonprofit Association — Wyoming statute purpose-built for DAOs/token stewards	Legal personhood (can hold assets, contract, sue/be sued); limited liability for members; designed for token governance; can be tax-transparent	Newer law, less precedent; needs careful governance docs; tax treatment needs CPA
501(c)(4) social welfare	Federal tax-exempt non-profit for social-welfare/advocacy	Tax-exempt; broad advocacy latitude; fits a "public good" mission	Donations **not** tax-deductible; can't primarily benefit private parties; IRS scrutiny
501(c)(3) charity	Federal charitable non-profit	Donations deductible; strong public-trust signal	Very restrictive; **no private inurement**; poor fit for a token-stewarding org; slow to obtain
Offshore foundation (e.g. Cayman, Zug, Panama)	Foundation company / Stiftung used widely by crypto protocols	Jurisdiction-neutral; established token-foundation playbook; can isolate token from US operating co	Cost + complexity; cross-border tax (CFC/PFIC) issues; US-person reporting; needs specialized counsel

Recommendation: plan for the **Wyoming DUNA** as primary (it matches your stack and keeps things onshore/simple), and have **crypto/securities counsel** pressure-test DUNA-vs-offshore at the moment the token actually moves — the right answer depends on where your users and validators are and how the token is distributed.

7.4 Token tax (flag for the CPA)

Token issuance, treasury holdings, rewards, and staking each have **income-recognition, basis, and timing** consequences for both the entity and recipients. Don't move tokens — even internally — without the CPA modeling the tax. (More in §9.)

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8. Anonymity & privacy operations playbook

Goal: **the entity is the public face; your name appears only where the law requires (bank, IRS).**

1. **Commercial registered agent** — their WY address is the public contact, not yours.
2. **Organizer service** — have the agent/attorney act as "organizer" so even the formation filer isn't you.
3. **Manager-managed LLC** — members aren't named; if you want extra distance, a separate manager entity can be the operational signatory.
4. **Virtual business address** (not your home) on every public surface, app store listing, WHOIS, ToS/Privacy contact.

5. **Domain privacy / WHOIS protection** on all domains; register them in the **entity's** name.
6. **Role-based emails** (legal@, privacy@, security@) — never your personal email on public docs.
7. **The entity, not you, signs everything** — contracts, app store, vendor agreements.
8. **EIN responsible party** — this is you, disclosed to the IRS only. Normal and required.
9. **Bank KYC** — you disclose yourself as beneficial owner + control person. Normal and required. *Do not attempt to hide this — that's where anonymity stops being legal.*
10. **FinCEN CTA / beneficial-ownership (BOI):** as of mid-2026 a March-2025 interim rule generally **exempted US-formed companies** from BOI reporting. **This area has flipped repeatedly in litigation — re-verify the current rule with counsel at formation**, and if reporting is required, file it (it goes to FinCEN, not the public).
11. **Optional: hold your interest through a revocable living trust** — adds a privacy layer and gives you a clean estate path to your son without a nominee (§11).

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9. Tax overview

> Confirm everything here with your CPA — this is orientation, not a return.

- **Default entity tax (single-member LLC):** a **disregarded entity** — profit/loss flows onto your personal return (Schedule C). Simple to start.
- **S-corp election (Form 2553) — later trigger:** once the business throws off meaningful profit, electing **S-corp** treatment can cut self-employment tax (you pay yourself a "reasonable salary," the rest is a distribution). Your CPA models the breakeven (often around the point where net profit comfortably exceeds a reasonable salary). **Don't elect prematurely** — it adds payroll + filing overhead.
- **C-corp — only if you raise VC.** If you take institutional venture money, investors usually want a **Delaware C-corp** (QSBS, preferred stock, option pools). That's a *conversion* decision for later, not now. The WY-LLC-now path doesn't block it.
- **State tax:** your home state has **no income tax**, so there's no personal state income tax on the pass-through — a real simplification. Watch for: **foreign-qualification fees/annual reports** if you WY-form + home-qualify; sales/use tax if you sell taxable goods/services; any **gross-receipts** quirks of your specific state.
- **Wyoming:** no state income tax; an **annual report + license-tax** (small, asset-based) is due yearly to keep the LLC in good standing.
- **Token tax (flag, not advice):** tokens received as rewards are generally **income at fair value when received**, establishing basis; later disposal is gain/loss; a treasury holding tokens has its own accounting. **Model this with the CPA before any token moves.**
- **Son / gifting (only if you pursue it transparently):** granting your son a membership interest is a **gift** — track the annual exclusion + lifetime exemption, file a **gift-tax return (Form 709)** if required, and get a

valuation. A trust changes the mechanics. CPA + estate attorney territory.

- **R&D:** software development costs and the **R&D credit** may apply — keep clean records so the CPA can capture them.
- **Recordkeeping discipline:** separate bank account, no commingling, contemporaneous books, board/member resolutions for big decisions. This is also what *preserves the liability shield.*

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10. Compliance calendar + document register

10.1 Recurring obligations

Item	Frequency	Owner	Notes
Wyoming annual report + license tax	Annual (on formation anniversary)	Registered agent / you	Keeps LLC in good standing
Registered-agent renewal	Annual	You	Don't lapse — it's your legal-service address
Home-state foreign-qual annual report (if applicable)	Annual	You	Only if you WY-form + home-qualify
Federal + state tax filings	Annual / quarterly estimates	CPA	Estimated taxes quarterly
Trademark maintenance	Per USPTO deadlines (≈ yrs 5–6, 9–10)	TM attorney	Don't miss declarations of use
Insurance renewal	Annual	Broker	Re-scope as products grow
Privacy policy / ToS review	Annual or on feature change	Privacy counsel	Update when payments/token go live
FinCEN BOI status check	Re-verify periodically	Counsel	Rule has changed repeatedly
DPA / vendor review	Annual	You	Especially IDV + cloud

10.2 Document register (keep originals safe + a digital set)

Formation: Articles of Organization · Operating Agreement · EIN letter (CP-575) · registered-agent agreement · DBA/trade-name registrations. IP: **IP assignment(s)** · trademark filings/registrations · domain records · open-source license inventory. Commercial: ToS · Privacy Policy · DPAs · enterprise MSA/DPA/SLA templates (Comply) · IDV vendor contract (Passport). Financial: bank records · bookkeeping · tax returns · cap table / member ledger. Deferred (when triggered): Foundation governing docs · token legal opinion · money-transmission opinion · BAA template (Comply) · SOC 2 reports.

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11. Informational ideas (appendix)

A few extra ideas you asked for — optional, but worth knowing:

1. **Separate IP-holding subsidiary.** Once there's value, an `Echo IP, LLC` that *owns* the IP and licenses it to the operating entities further isolates the crown jewels from operating liability. (Overkill today; revisit at the first subsidiary spin-out.)
2. **Revocable living trust as the LLC member.** Hold your membership interest in a trust: keeps your name off the public record, lets the company pass to your son **without probate**, and avoids the nominee problems of §4.1. Pair with the Operating Agreement's transfer-on-death terms.
3. **Transparent equity for your son.** If you want him involved, give him a *real, documented* minority interest with a vesting schedule, or make him a beneficiary of the trust — legitimate, and a far better story than a hidden nominee if anyone ever looks.
4. **Trademark + brand defense early.** File the marks *before* launch noise; secure social handles + defensive domains in the entity's name.
5. **DUNA timing.** Stand up the Foundation in the *same window* you finalize token mechanics, so governance and treasury exist before the first public distribution — not after.
6. **Onshore vs offshore Foundation.** If your validator/user base becomes heavily non-US, revisit an offshore foundation with counsel; if it stays US-centric, the Wyoming DUNA is simpler and cleaner.
7. **Privacy Commons Treasury as a public-goods flywheel.** Funding legal defense/research from protocol fees is a strong differentiator *and* a credibility anchor for the "un-ruggable" ownership thesis — but it lives in the Foundation, not the for-profit.
8. **Insurance stack as you grow:** add D&O once you have a board/outside money; raise cyber/E&O limits as Comply enterprise deals land.
9. **Data-residency / sub-processor map.** Keep a living list of where data sits and who processes it; enterprise (Comply) buyers and EU users will both ask.

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12. Who to hire & what to ask

Bring this list to each. Rough budgets are early-stage ballparks.

Specialist	Why	Ask them	Rough budget
Wyoming business-formation attorney	Form the LLC correctly; draft the Operating Agreement; advise WY-vs-home formation + foreign qualification	"WY-form + foreign-qualify in [my state], or form directly? Manager-managed for privacy? Operating Agreement with transfer-on-death to my son/trust? IP assignment from me to the LLC?"	$1.5–4k formation package
Crypto / securities counsel	The token. Whether ECHO is a security; how/whether to distribute; Foundation vehicle (DUNA vs offshore)	"Is our reward/staking model a security? What can we say publicly? What's a compliant distribution path? DUNA vs offshore foundation for our user base?"	$10k+ for an analysis/opinion
Money-transmission counsel	Before any payment feature ships	"Does our non-custodial + licensed-partner design avoid MSB/state MTL? What triggers licensing? Review the pay-in-chat flow."	$5–15k for an opinion
Privacy / data counsel	Finalize ToS + Privacy; CCPA/CPRA/GDPR; biometric (BIPA) for Passport; DPAs	"Finalize our drafts for the entity; biometric-consent flow for IDV; state-privacy + GDPR readiness; processor DPAs."	$3–10k initial
CPA (with crypto experience)	Entity tax election timing; books; token tax; gift/estate if you involve your son	"Disregarded vs S-corp election timing? Token-reward and treasury accounting? Quarterly estimates? Gift mechanics if I grant my son an interest?"	$50–300/mo + returns
Trademark attorney	File ECHO marks + logos in the right classes	"File word + logo marks for ECHO and the three products in the correct classes; clearance search first."	~$1.5–3k for the set
(Later) **Estate attorney**	The revocable trust + clean transfer to your son	"Set up a revocable living trust to hold my LLC interest and pass it to my son without probate."	$1.5–4k

13. Glossary + sources

Glossary

- **Beneficial owner** — the real person(s) who own/control/benefit from an entity, regardless of whose name is on paper. Disclosed to banks (KYC) and, when required, FinCEN.
- **BOI / CTA** — Beneficial Ownership Information reporting under the Corporate Transparency Act (status in flux as of 2026; US-formed companies largely exempted by a March-2025 interim rule).
- **Charging-order protection** — limits a member's personal creditor to a "charging order" against distributions rather than seizing the LLC; strong in Wyoming.
- **CIP / KYC** — Customer Identification Program / Know-Your-Customer; banks must verify who you are.
- **DUNA** — Decentralized Unincorporated Nonprofit Association; Wyoming statute for DAO/token stewards.
- **Disregarded entity** — a single-member LLC taxed on the owner's personal return by default.

- **Howey test** — the US test for whether something is an "investment contract" (a security).
- **MSB / money transmitter** — a regulated money-services business; federal FinCEN registration + state licenses; triggered by controlling/transmitting customer funds.
- **Nominee / straw owner** — putting someone else's name on ownership to hide the real owner; legally risky and, if used to deceive, potentially fraudulent.
- **Private inurement** — a charity benefiting a private individual (e.g. the founder); prohibited for 501(c)(3).
- **Veil piercing / alter ego** — when courts disregard the LLC's liability shield because it wasn't respected as a separate entity.

Internal sources used (this repo)

- `docs/NETWORK_STATE_OWNERSHIP_THESIS.md` — token, validators, Foundation, Privacy Commons Treasury.
- `docs/ECHO_PASSPORT_PLAN.md` — custody/non-custodial invariant, payments routing, "Echo stays the identity + consent layer, never the money transmitter."
- `docs/CROSS_PRODUCT_GAP_REVIEW.md` — the three products + Passport; Comply enterprise surface.
- `docs/PRD.md` — token rewards / staking "5–15% APY," success metrics, roadmap.
- `docs/legal/TERMS_OF_SERVICE_DRAFT.md`, `docs/legal/PRIVACY_POLICY_DRAFT.md` — existing drafts to fill with the entity name.

External topics to verify with counsel (not legal citations — confirmation prompts): Wyoming LLC Act + DUNA statute; FinCEN CTA/BOI current status; FinCEN MSB / state money-transmitter licensing; SEC Howey/investment-contract guidance; Illinois BIPA / Texas CUBI / Washington biometric laws; HIPAA Business Associate rules; CCPA/CPRA + state privacy laws; GDPR/UK GDPR; NCMEC/CSAM reporting duties for messaging providers; USPTO trademark classes.

End of document. This is an informational planning aid, not legal or tax advice. Engage the licensed professionals in §12 before acting on the token, payments, HIPAA, or cross-border items.